

HEADLINE JUDGMENT

Note: 26 Jun figures are intraday prints; 25 Jun is now a final close. Bloomberg's restated continuation series in force throughout. **Score returns to 20/30 — a correction.** The two downgrades flagged yesterday (oil 2→1, US-inflation 3→2) were driven by the 25 Jun Singapore-AM intraday lows (Brent \$73.21, 5Y5Y 2.141%), and the US-session close reversed both — **Brent bounced to \$75.50 and 5Y5Y to 2.161%**. On a confirmed-close basis neither sustained at pre-war, so **oil reverts 1→2 and US-inflation reverts 2→3**; the 24 Jun dip to the anchor was a one-day move, not a completed round-trip. **Why the bounce:** the market re-priced a fragile implementation. The IAEA-inspection dispute turned prominent — agency chief Grossi insists inspections “will happen” (the MOU mandates IAEA supervision), while Iran's Gharibabadi says nuclear access comes only within a final agreement and after sanctions relief, dismissing “media hype.” Lebanon kept flaring (an Israeli airstrike killed two; Netanyahu vows to keep the southern “security zone”), and the still-slow Hormuz transits “have not yet validated the reopening” — the central channel is still mined (~80 mines), with full normalization not seen before 2027 (Aramco). So **oil holds a ~\$2.6/bbl residual premium** (Brent \$75.05) and **5Y5Y sits +2.3 bp above its anchor**. Maritime (4), Treasury (4, MOVE easing to 67), political (4) and escalation (3, contested) hold. The normalization trend is intact, but is gated by the slow items — mine clearance, the IAEA/nuclear track, the hawkish Fed and the gasoline lag. Going forward, channels move on confirmed closes only. Sequencing 20 → 18 → 20.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

26 Jun 2026 readings are intraday prints captured before session close — final settlements may differ. 25 Jun and earlier are final closes (restated continuation series). d/d deltas are 26 Jun intraday vs 25 Jun close; w/w deltas are vs 19 Jun close (a Juneteenth holiday — rates carried).

Benchmark	Intraday 26 Jun	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$75.05 /bbl	−\$0.45 (−\$5.00 w/w)	from \$72.48 (+3.5%) — residual premium ~\$2.6/bbl as implementation stays fragile (oil 1→2 revert)	CO1 Comdty
Brent · 25 Jun close (carried)	\$75.50 /bbl (vs \$73.21 intraday I reported)	close ran \$2.29 ABOVE my intraday — the 24 Jun dip to pre-war reversed		CO1 Comdty (Close)
WTI front-month	\$71.06 /bbl	−\$0.46 (−\$4.79 w/w)	from \$67.02 (+6.0%) — low \$70s	CL1 Comdty
Brent–WTI spread	\$3.99 /bbl	+\$0.01 d/d	steady	derived
Henry Hub natural gas	\$3.32 /MMBtu	−\$0.03 (+\$0.08 w/w)	from \$3.06 (+8.3%) — firm; US not exposed to Hormuz	NGA Comdty
TTF Dutch gas (active)	€40.72 /MWh	+€0.31 (−€1.38 w/w)	from €31.23 (+30.4%) — stable in the low €40s	TZTA Comdty
Japan/Asia LNG (25 Jun print)	¥2,485	−¥43 vs 24 Jun	from ¥1,669 (+48.9%) — easing	JGLA Comdty
Brent · April 2026 realized average	\$102.46 — 21 trading sessions			CO1 (Close mean)
EIA June STEO (9 Jun)	Brent ~\$105/b Jun–Jul assumed a closed strait — now badly stale to the downside			EIA STEO

US Treasuries and inflation expectations — Bloomberg

26 Jun 2026 yields are intraday. d/d deltas are 26 Jun intraday vs 25 Jun close; w/w deltas are vs 19 Jun (Juneteenth — rates carried from 18 Jun). The complex still reflects the 17 Jun hawkish FOMC.

Tenor	Yield (%) — intraday 26 Jun	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.12	−0.6	−6.0	+74 (from 3.37%) — easing but hawkish-FOMC level	USGG2YR Index
5-year UST	4.16	−0.2	−6.9	+66 (from 3.50%)	USGG5YR Index
10-year UST	4.39	+0.2	−5.9	+46 (from 3.94%) — 26 bp below 4.65% trigger	USGG10YR Index
30-year UST	4.87	+0.4	−3.3	+25 (from 4.61%) — below 5.00%, 37 bp above the 4.50% leg	USGG30YR Index
2s10s spread	+28 bp	+0.6	+0.5	−28 (flat — hawkish Fed)	USYC2Y10 Index
10Y breakeven inflation	2.21 (25 Jun)	—	—	−5 (from 2.26%) — below pre-war	USGGBE10 Index
5Y5Y forward inflation	2.17	+0.4	−2.1	+2 (from 2.14%) — bounced back above the pre-war anchor (US-inflation 2→3 revert)	USGG5Y5Y Index
SOFR (lagged print)	3.63	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Indicator	Latest	As of	Δ vs pre-war	Interpretation
DXY (dollar index)	101.49	26 Jun intraday	+3.88 (from 97.61)	Holding >101.4 (+0.64 w/w) on the hawkish FOMC — higher-for-longer rate support. Dollar strength, not a Stage-4 break.
MOVE Index (bond vol)	67.10	25 Jun (lagged)	−6.28 (from 73.38)	Easing toward the 65 leg of the Treasury →3 trigger, but not through it. Far below the 130 Stage-4 level.
VIX (equity vol)	18.89	25 Jun (lagged)	−0.97 (from 19.86)	Just below pre-war — steady as the deal holds amid the IAEA and Lebanon frictions.
US gasoline retail avg	\$4.53 /gal	24 Jun (latest print)	+\$1.01 (from \$3.52, +29%)	Below the \$4.75 threshold (political-stress at 4); still ~\$1 above the \$3.52 pre-war level — the lagging pump price.

Strait operational state

Indicator	Current reading	Source
IAEA-inspection dispute — prominent	IAEA chief Grossi: the MOU "explicitly" puts nuclear material/facilities under agency supervision — "to do that, we will have to inspect... this is going to happen." Iran's Gharibabadi: access comes only "within the framework of a final agreement" and after sanctions end — dismissing "media hype."	NPR / PBS / AP
Nuclear track — at the threshold	No Iranian facility has been inspected since 28 Feb; inspectors are present but undeployed; the 10 Jun Board resolution (declare/verify HEU stocks) is unmet. Iran is assessed to hold HEU for up to ~10 weapons.	IAEA / NPR
Lebanon — still flaring	An Israeli airstrike killed two in southern Lebanon (Wed); Israel's DM says the US has not demanded a withdrawal; Netanyahu vows to keep the "security zone." Lebanese-Israeli officials are meeting in Washington.	NPR / PBS
Strait — reopening not yet validated	Movement via the northern (Iranian) and southern (Omani) routes; the central deep-water channel is still mined (~80 mines) and shut; insured, sustained main-channel transits are "weeks away." Aramco: normalization not before 2027.	GlobalSecurity / Aramco
Oil — fragile-implementation bid	Brent's bounce off the 24 Jun low registers the market's read that implementation "remains fragile" and the slow transit pace "has not yet validated the reopening."	GlobalSecurity / Bloomberg
Macro overlay	The 17 Jun hawkish FOMC (dots 3.8%, 9/18 projecting a hike) keeps the dollar >101.4 and the front end firm even as oil and breakevens sit near/below pre-war.	Fed / Bloomberg

2 · US economic shock — analysis with bond yields

The US economic shock is **20/30** after a one-session correction: the 24 Jun dip that took oil and forward inflation to pre-war reversed on the 25 Jun close, so the two downgrades revert. The underlying normalization is intact — oil's premium is ~\$2.6/bbl and 5Y5Y is within ~2 bp of its anchor — but a fragile implementation (the IAEA-inspection dispute, Lebanon, a still-mined central channel) is holding both just above pre-war. The residual is geopolitical-structural plus a Fed-pinned Treasury. No Stage-4 signal.

2.1 · Bond-yield transmission

26 Jun yields are intraday; d/d vs 25 Jun close, w/w vs 19 Jun. **Oil 1→2 and US-inflation 2→3 revert; score 18→20.** The complex still reflects the hawkish FOMC: 2Y 4.12% (−6 bp w/w), the dollar >101.4, the curve flat (2s10s +28 bp). The long end is steady (30Y 4.865%); MOVE eased to 67.10.

(i) Inflation anchor — reverted to 3. 5Y5Y forward closed 2.1610% on 25 Jun (vs the 2.1412% intraday I reported) and is 2.1653% now — +2.3 bp above the 2.142% pre-war anchor. The 24 Jun touch of the anchor (2.1438%) did not sustain, so **US-inflation reverts 2→3**; 10Y breakevens at 2.21% remain below pre-war. A sustained close at/below 2.142% takes it to 2.

(ii) Long-end — 4.87%; Treasury Fed-pinned at 4, →3 watch. 30Y at 4.865% holds below 5.00% and MOVE eased to 67.10 (toward the 65 leg), but the front end is firm (2Y 4.12%, dollar >101.4) on the hawkish dots and the 30Y is 37 bp above the 4.50% leg. The →3 needs both legs. 10Y at 4.39% is 26 bp below the 4.65% trigger.

(iii) Oil — reverted to 2. Close path: \$73.87 (24 Jun) → \$75.50 (25) → \$75.05 intraday (26 Jun); WTI \$71.06. Risk premium ~\$2.6/bbl (+3.5% vs pre-war) — the 24 Jun dip to pre-war reversed as implementation risk re-priced, so **oil reverts 1→2**. A sustained close toward the \$72.48 pre-war level takes it to 1; a deal-collapse spike >\$95 restores 3.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event — the complex is far from it; the live question is the pace of normalization *down* against the implementation frictions.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%. With 30Y below 4.90%, coupon auctions should price comfortably despite the hawkish tilt.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Dormant. 30Y 4.865% is 34 bp below the 5.20% trigger; 10Y 4.39% is 26 bp below 4.65%.

Threshold C · MOVE above 130. Contained. MOVE 67.10 and VIX 18.89 are both below pre-war. Far below Stage-4 levels. HY OAS not in the BBG sheet — steady equities argue for tightening.

2.3 · Cross-asset

The market side is near-normalized but not through: oil (+3.5%), 5Y5Y (+2 bp) and gasoline sit just above pre-war, while breakevens, TTF, MOVE and VIX are at/below it. The correction this session is a reminder that the last few basis points and dollars to pre-war are being

defended by the implementation frictions — the IAEA dispute and the mined central channel — rather than by fresh stress. The dollar (>101.4) and front end remain the Fed-pinned hold-outs.

3 · Shock score

Total: **20/30**. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	4/5	Held at 4 — →3 pending. Traffic moves via two routes, but the central deep-water channel is still mined (~80 mines) and shut, insured sustained main-channel transits are “weeks away,” and full normalization is not seen before 2027. The reopening “has not yet validated.”	↑ strait re-closed / blockade reinstated → back to 5. ↓ traffic >25% normal for 10 sessions (verified mine-free) → to 3.
Oil price shock	2/5	Reverted 1→2. Brent \$75.50 close (25 Jun) → \$75.05 intraday; risk premium ~\$2.6/bbl (+3.5% vs pre-war). The 24 Jun dip to pre-war reversed as implementation risk re-priced.	↑ Brent >\$95 sustained → back to 3. ↓ Brent close toward the \$72.48 pre-war level sustained → to 1.
US inflation impulse	3/5	Reverted 2→3. 5Y5Y 2.165% is +2.3 bp above the 2.142% pre-war anchor (closed 2.1610% on 25 Jun); 10Y BE 2.21% (below pre-war). The 24 Jun touch of the anchor did not sustain.	↑ 5Y5Y clearly rising >2.20% → to 4. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 2.
Treasury stress	4/5	Held at 4 — Fed-pinned, →3 watch. 30Y 4.865% (<5.00%) with MOVE 67.10 easing toward the 65 leg; but the 30Y is 37 bp above 4.50% and the front end is firm on the hawkish dots (2Y 4.12%, dollar >101.4). The →3 needs both legs.	↑ 30Y close >5.00% with MOVE >75 → back to 5. ↓ 30Y close <4.50% with MOVE <65 → to 3.
Political stress	4/5	Held at 4. Gasoline \$4.53 (24 Jun), below the \$4.75 threshold but still ~\$1 above the \$3.52 pre-war level — the lagging pump price, falling with crude.	↑ gasoline >\$4.75 sustained → back to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	3/5	Held at 3 — implementing but contested. The deal is intact and 60-day talks continue, but the IAEA-inspection dispute is unresolved (Grossi vs Gharibabadi), Lebanon is flaring (Israel won't withdraw), and Iran's earlier closure threat lingers. Not to 2; not back to 4.	↑ deal collapse / re-closure / fresh strikes → back to 4–5. ↓ 60-day talks progress + sustained normalization → to 2.
TOTAL	20/30	Systemic-risk-watch band — 18→20 (correction). The 24 Jun dip to pre-war reversed, so oil and US-inflation revert. The normalization trend is intact but gated by the IAEA/nuclear track, mine clearance, the hawkish Fed and the gasoline lag. The bias stays down toward the stress band (8–14) on confirmed closes.	

4 · What's changed since the last edition (25 Jun AM → 26 Jun AM)

Score returns to 20/30 — a one-session correction. The 25 Jun close reversed the 24 Jun dip to pre-war, so the oil 2→1 and US-inflation 3→2 downgrades (flagged on the 25 Jun intraday lows) revert. Going forward, channels move on confirmed closes only. Source: Bloomberg.

Oil reverted (1→2). Brent closed \$75.50 on 25 Jun (vs my \$73.21 intraday) and is \$75.05 now — a ~\$2.6/bbl residual premium. The 24 Jun sub-\$74 dip did not sustain. Source: Bloomberg.

US-inflation reverted (2→3). 5Y5Y closed 2.1610% (vs my 2.1412%) and is 2.1653% now — back above the 2.142% anchor. The 24 Jun touch of the anchor did not sustain. Source: Bloomberg.

IAEA-inspection dispute turned prominent. Grossi: inspections “will happen” under the MOU; Iran's Gharibabadi: only within a final agreement and after sanctions relief. The central nuclear friction of the 60-day window. Source: NPR / PBS / AP.

Lebanon still flaring. An Israeli airstrike killed two; Israel won't withdraw (Netanyahu's “security zone”); Lebanese–Israeli talks underway in Washington. Escalation holds at 3. Source: NPR / PBS.

Strait reopening not yet validated. Central channel still mined (~80 mines); insured sustained main-channel transits “weeks away”; full normalization not before 2027 (Aramco). Maritime holds at 4. Source: GlobalSecurity / Aramco.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Deal holds — strait normalizes, talks progress	60%	The MOU holds; the IAEA dispute is bridged and inspections begin; mines clear over 40–50 days; the 60-day nuclear/sanctions talks progress. Base case, trimmed on the friction.	Brent \$66–76; 30Y 4.5–4.9%; MOVE <68; score resumes its drift toward the stress band (8–14).
Slow / partial implementation	32%	Ceasefire holds but normalization is slow and contested — the IAEA stand-off drags, the central channel stays mined (2027 for full flows), gasoline lags. The bounce confirms this path.	Brent \$72–82; yields stable; residual risk premium ~\$2–5/bbl; maritime and oil stay put longer.
Implementation breakdown (60-day window)	5%	The IAEA-inspection stand-off or the HEU/sanctions terms snag; Iran re-closes the strait as leverage — stalling the deal without full-scale war.	Brent \$84–96; yields drift up; risk premium rebuilds toward \$10–15/bbl; escalation back to 4.
Ceasefire breakdown / re-escalation	2%	Lebanon collapses the truce — Israel's refusal to withdraw triggers a wider clash — and strikes resume despite the signed MOU.	Brent \$104–126; 10Y >4.65%; 30Y >5.20%; risk-off; score back toward the crisis band.
Major regional relapse	1%	Multi-front relapse with the strait re-closed/re-mined. Tail risk, much reduced by the signed, in-effect deal.	Brent \$150+; emergency policy; HY spreads >500 bp; potential dollar disorder.

Probability shifts from the 25 Jun edition: deal-holds normalization -2 (62→60), slow/partial +2 (30→32); implementation-breakdown (5%), ceasefire-breakdown (2%) and regional relapse (1%) held. Driver: the oil/inflation bounce and the prominent IAEA-inspection dispute confirm a slow, contested normalization rather than a clean glide to pre-war. The nuclear track and Lebanon keep the breakdown tails populated; the hawkish Fed pins the Treasury channel regardless of the geopolitical path.

6 · Watchlist · next 24–72 hours

IAEA inspections — the central friction. Grossi says inspections “will happen”; Iran ties access to a final agreement and sanctions relief. A first inspection would support escalation toward 2; a hard stand-off (or an Iranian re-closure) risks a move back to 4.

Strait traffic / mine clearance — maritime to 3. The central channel is still mined; a sustained >25% of normal for ten sessions with verified mine-free routes takes maritime-denial 4→3 — the next leg down.

Oil range — oil to 1. Brent \$75.05 carries a ~\$2.6/bbl premium; a sustained close toward the \$72.48 pre-war level (on the close, not the intraday) takes the oil channel 2→1.

Treasury long-end — →3 watch. 30Y 4.865% with MOVE easing to 67.10; a 30Y close <4.50% with MOVE <65 would take Treasury 4→3 — the first crack in the Fed-pinned channel. Incoming CPI (4.2%) is the governor.

Lebanon. Israel's refusal to withdraw and continued strikes — alongside the Lebanese–Israeli talks in Washington — are the most likely route to a ceasefire breakdown and a re-escalation of the score.

5Y5Y at the anchor — US-inflation to 2. 5Y5Y is +2.3 bp above the 2.142% anchor; a sustained close at/below it (confirmed, not intraday) takes US-inflation 3→2.

Gasoline toward pre-war — political to 3. At \$4.53 it is ~\$1 above the \$3.52 pre-war level; with crude near pre-war, a continued grind toward \$3.52 takes political-stress 4→3.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US_Iran_BBG_Data.xlsx, restated front-month continuation series). Tickers: CO1/CL1 Comdty (Brent/WTI); NGA/TZTA/JGLA Comdty (Henry Hub/TTF/Asia LNG); USGG2YR/5YR/10YR/30YR Index; USYC2Y10; USGGBE10; USGG5Y5Y; SOFRRATE; MOVE; VIX; DXY; AUTMUSAG (US retail gasoline). Note: 19 Jun w/w base was a Juneteenth holiday (rates carried).

Tier 1 — news and institutional. NPR, PBS, AP, Reuters, Bloomberg, GlobalSecurity, IAEA, Saudi Aramco; Federal Reserve / CME FedWatch. The IAEA-inspection dispute (Grossi's remarks; Gharibabadi's pushback), the unmet 10 Jun Board resolution on HEU, the Lebanon strikes and Israel's refusal to withdraw, and the still-mined central channel / “not yet validated” reopening via NPR / PBS / AP / GlobalSecurity.

Tier 3 — state media (labelled). Iranian statements (nuclear access only “within a final agreement,” “media hype” rebuttal, the lingering closure threat) are labelled and corroborated against NPR / PBS / AP; Tasnim, Mehr, IRIB, Fars, Press TV, Xinhua, TASS used only with explicit role labels and never as sole sourcing for a market-moving claim.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row as intraday; reclassify the prior session as a final close (25 Jun) and capture any restatement of the continuation series.
2	Recompute deltas	d/d vs prior close; w/w vs the close five trading sessions back (w/w base = 19 Jun this edition, a Juneteenth holiday — rates carried); vs-pre-war vs the 27 Feb 2026 anchor.
3	Re-evaluate the six shock-score channels	Market/economic channels move on a CONFIRMED CLOSE only (this edition reverts the 25 Jun intraday-driven downgrades: oil 1→2, US-inflation 2→3, as the 25 Jun close reversed the 24 Jun dip). Escalation-risk is event-based, held at 3.
4	Reconcile against the prior edition	Flag intraday-vs-close divergences (this edition: the 25 Jun close ran \$2.29 ABOVE my oil intraday and 5Y5Y bounced above the anchor — the downgrades did not confirm).
5	Update scenarios and watchlist	Re-rank near-term catalysts; lead with the IAEA dispute, mine clearance (maritime →3), the Treasury long-end (→3 watch) and oil/5Y5Y vs their pre-war anchors.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil price shock, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. **Market/economic channels move on a CONFIRMED CLOSE through a trigger — not on an intraday print.** This edition applies that rule strictly: the 25 Jun close reversed the 24 Jun dip to pre-war, so the intraday-driven oil and US-inflation downgrades revert (oil 1→2, US-inflation 2→3). Escalation-risk is event-based, held at 3. A hawkish FOMC continues to pin the Treasury channel at 4, an exogenous crosscurrent flagged explicitly.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent (+3.5%), 5Y5Y (+2 bp) and gasoline sit just above pre-war; WTI, 10Y breakevens, MOVE and VIX are at/below it; the hawkish Fed holds the front end and dollar above it.

Intraday caveat — illustrated this edition. The latest dated row is a Singapore-AM intraday snapshot, and US-hours trading sets the close. On 25 Jun the close ran \$2.29 above my AM oil read and 5Y5Y bounced back above its anchor — reversing the move that prompted

yesterday's downgrades, which therefore revert. Triggers are evaluated only on confirmed closes; escalation-risk is event-based. This edition uses Bloomberg's restated front-month continuation series; absolute levels are not directly comparable with pre-restatement editions, though the directional analysis is continuous.